

vastly different from Bitcoin's proof-of-work design that assumed anyone could be a bad actor.

Ripple also used trusted gateways as endpoints for users, and these gateways could take deposits and redeem debts in all kinds of asset pairs, including traditional fiat currency. This built off Fugger's original chains of trust but on a global multi-asset scale. Routing a transaction through Ripple's network was like sending a packet of information through the Internet, ping-ponging amid connected servers.

If users didn't want to rely on these gateways, Ripple also had its own native cryptocurrency, called ripples, and commonly referred to as XRP. XRP could be used to connect two endpoints in the Ripple network that didn't have a connection of trust.

But this is where the Ripple team ran into contentious territory, even if the concept was born of good intentions. Since there was no mining process, there was no means to distribute XRP. Instead, 100 billion units of XRP were created and initially held by Ripple Labs (at that time, OpenCoin). While there was, and still is, intent to distribute all this XRP to seed use, as of writing the majority of XRP is still under the control of Ripple Labs.

This has led to mistrust of the Ripple protocol from much of the cryptocurrency community. Vitalik Buterin, who would later go on to create Ethereum, wrote in February 2013 for *Bitcoin Magazine*: "Because of the monetary distribution, OpenCoin may well face an uphill battle convincing the community that they can be trusted."²⁶